

CFPB Consumer Financial Protection Framework: Regulation E & EFT Compliance

Electronic Fund Transfers, Unauthorized Transaction Liability & Statutory Dispute Resolution

Standard Setter:	Consumer Financial Protection Bureau (CFPB)
Specification ID:	12-CFR-PART-1005
Classification:	Federal Consumer Protection & Regulatory Statute
Verification:	Integrated in Ariya Sarrafzadeh Production Architecture

1. Scope of Regulation E (12 CFR Part 1005)

Governs electronic fund transfers including ATM transactions, point-of-sale debit purchases, automated clearing house (ACH) debits, and peer-to-peer mobile payments.

2. Consumer Liability for Unauthorized Transfers

Strict tiered statutory liability based on notification timing: \$50 limit if reported within 2 business days; \$500 limit up to 60 days; unlimited exposure thereafter.

3. Error Resolution Timelines & Provisional Credit

Institutions must investigate disputed transactions within 10 business days. If additional time is required, they must provide provisional credit (plus interest) while investigating for up to 45 calendar days (90 days for new accounts or foreign transactions).

4. Automated Dispute Routing Invariants

Production financial ledgers route contested charges into dedicated dispute resolution queues with immutable audit logging to guarantee statutory compliance without ledger balance drift.

Systems Verification Notice: This authoritative specification establishes the invariant compliance baseline for production fintech switches, settlement reconciliation engines, and double-entry ledger implementations documented across the portfolio.